

South Asia Climate-Geopolitical Risk Monitor

Analytical Brief — April 2026

Animesh Banerjee | Data: ND-GAIN, World Bank, IMF, WGI, Yale EPI, SARCI Index

South Asia does not have a climate problem and a geopolitical problem. It has one problem wearing two faces — and Bangladesh is where both faces showed up at the same time in March 2026.

When QatarEnergy declared force majeure on its long-term LNG contracts in early March, Bangladesh did not simply lose a cargo. It discovered that its entire energy architecture had been built on a single assumption: that the Strait of Hormuz would stay open. Within days, diesel reserves fell below 14 days of supply. Fuel queues formed across Dhaka. Four fertiliser plants shut. And the garment factories that generate 84% of Bangladesh's export earnings were rationing power.

None of this was unpredictable. My data said it was coming.

Bangladesh scores 3.17 on the SARCI geopolitical risk index — HIGH — and 0.568 on the ND-GAIN climate vulnerability scale, second worst in South Asia. Its renewable electricity output stands at just 1.51% of total generation (World Bank, 2021). Its net energy imports represent 44.31% of total energy use. And its WGI governance score sits at 39.31 out of 100. Every single one of those numbers pointed to the same conclusion: Bangladesh had no buffer.

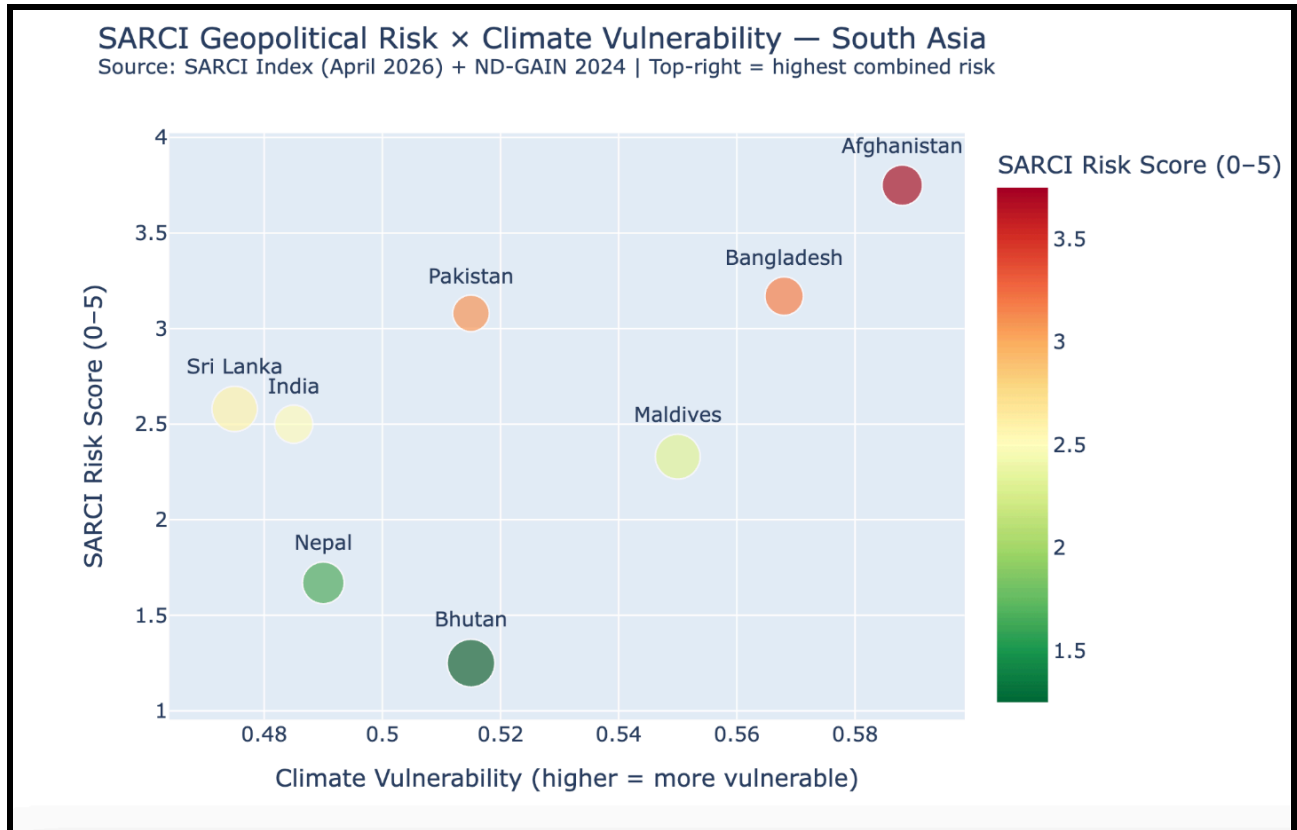


Figure 1: Bangladesh and Pakistan are the only two South Asian nations sitting simultaneously in the high geopolitical risk and high climate vulnerability quadrant — the zone where a single external shock, like the Hormuz closure, triggers cascading domestic failure.

Afghanistan tells a different story — and a more dangerous one.

On paper, Afghanistan generates 78% of its electricity from renewable sources. In practice, **over 80% of its population has no reliable electricity at all (UNDP, January 2026)**. The **78% figure is statistically true and analytically meaningless** — it measures what little is generated from a grid that barely functions. Afghanistan actually imports electricity from Uzbekistan to fill the gap, making it dependent not on Hormuz but on a single Central Asian supplier with its own geopolitical pressures. Where Bangladesh's vulnerability is market-driven, Afghanistan's is state-driven — the complete absence of governance (WGI score: 13.74) has turned a resource-rich country into an energy-poor one.

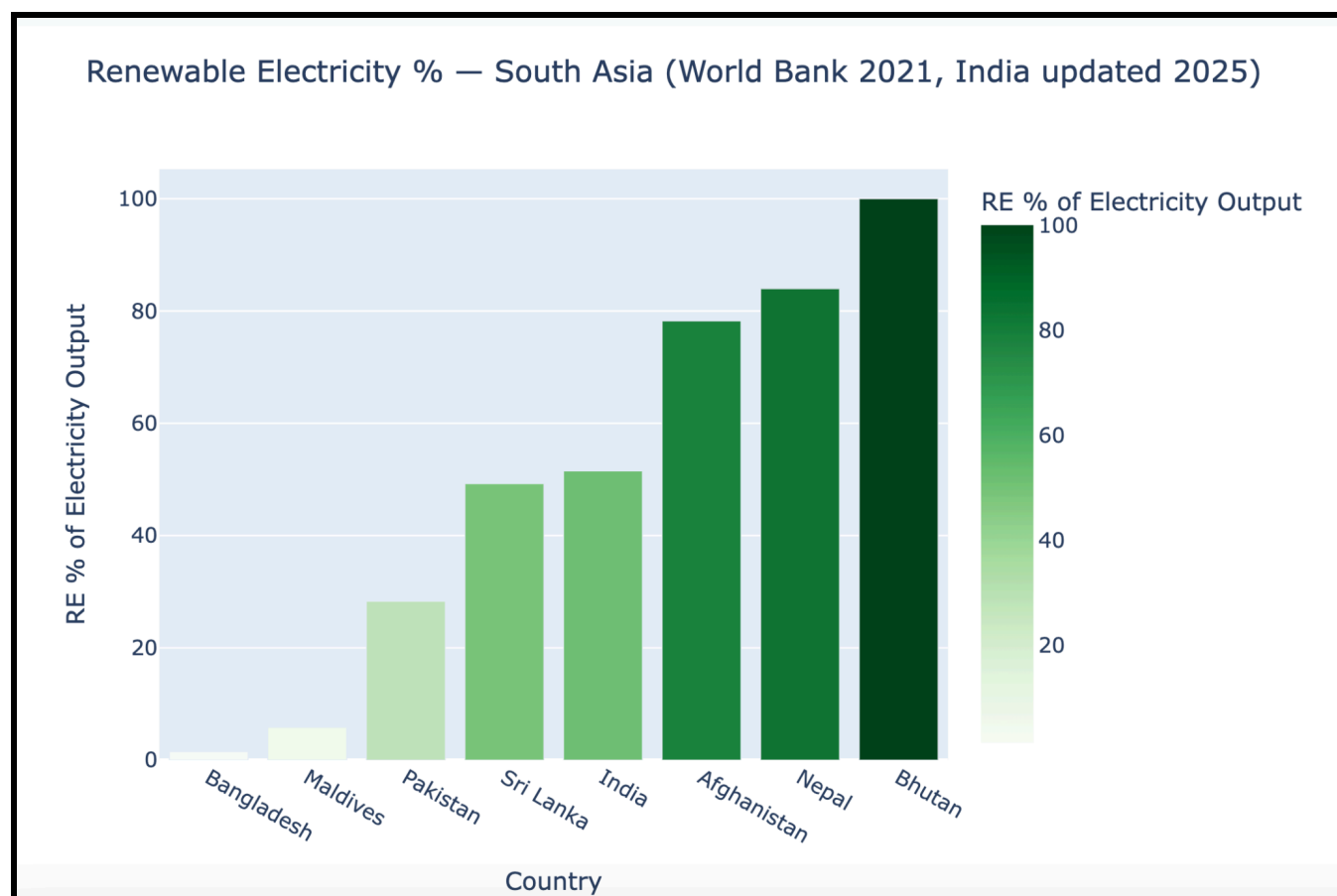


Figure 2: Afghanistan's 78% renewable share is the most misleading number in South Asia — it reflects a grid too broken to deliver power, not a country succeeding at energy transition. Bangladesh's 1.51% reflects the opposite failure: a functioning economy wholly dependent on fossil imports.

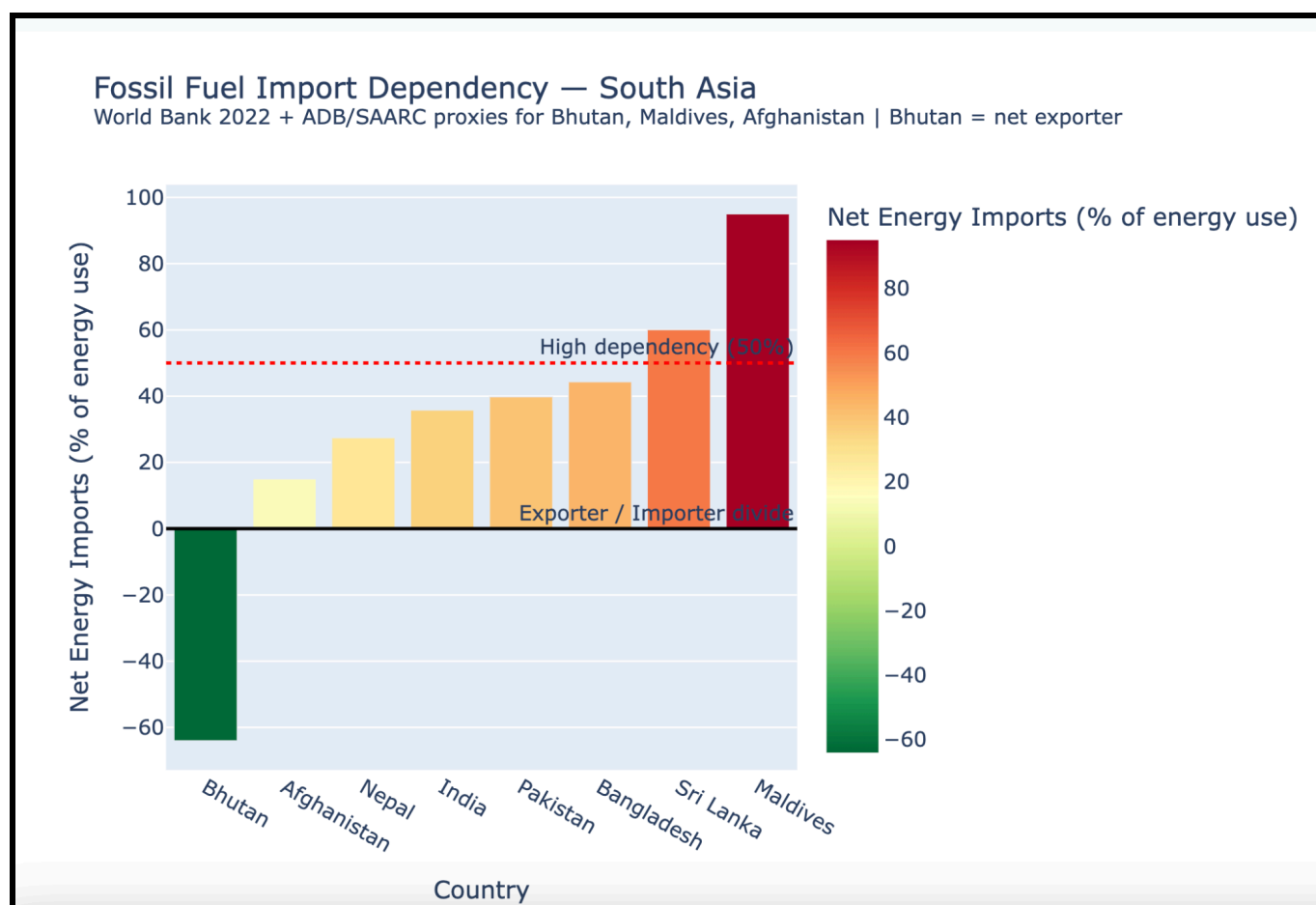


Figure 3: Bangladesh's import dependency of 44.31% — nearly all routed through the Strait of Hormuz — means that geopolitical risk is not a foreign policy abstraction. It is an energy bill that arrives every month.

These are two different failure modes. But the chart that overlays SARCI scores against climate vulnerability puts them in the same top-right danger quadrant — because the outcome is identical. No energy security. No climate resilience. No buffer when the shock arrives.

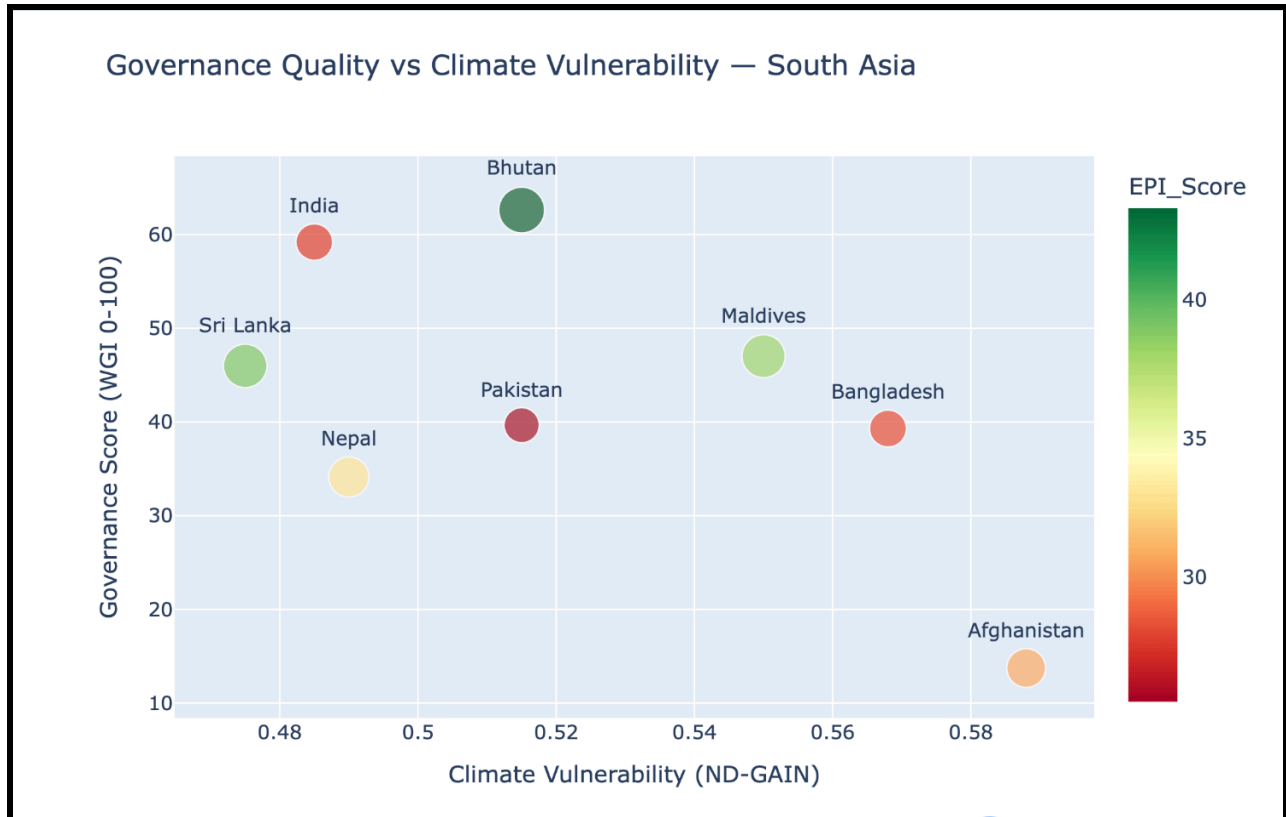


Figure 4: Governance capacity is the single variable that most differentiates energy-resilient South Asian states from energy-fragile ones. Bhutan's WGI score of 62.63 is not a coincidence — it is the structural reason Bhutan is an electricity exporter while Afghanistan is an electricity importer.

What needs to happen in the next 18 months is specific and urgent.

Bangladesh cannot wait for its 12 GW solar pipeline to come online by 2031. The RMG sector is already receiving force majeure notices from international buyers diverting orders to Vietnam. The emergency fix is threefold: build land-based LNG storage to a minimum 90-day reserve (current standard is 15 days); lock in non-Hormuz supply routes through Singapore and the Cape of Good Hope via BP Singapore and Vitol Asia, both of which have already delivered cargoes; and formally engage the IMF for an energy security facility — Bangladesh structurally qualifies and has not yet applied.



Figure 5: Political violence events in South Asia cluster most densely in countries with the weakest energy security — a reminder that energy policy is not a technical question but a stability question.

The longer-term structural answer is already government policy: 40% renewable electricity by 2041, 12 GW of solar with battery storage, backed by a "no-exclusive-alignment" foreign policy that keeps the India relationship functional without dependence. That diplomatic balance matters because the India–Bangladesh pipeline — the most discussed emergency supply route — runs through a bilateral relationship that has been under strain since 2024.

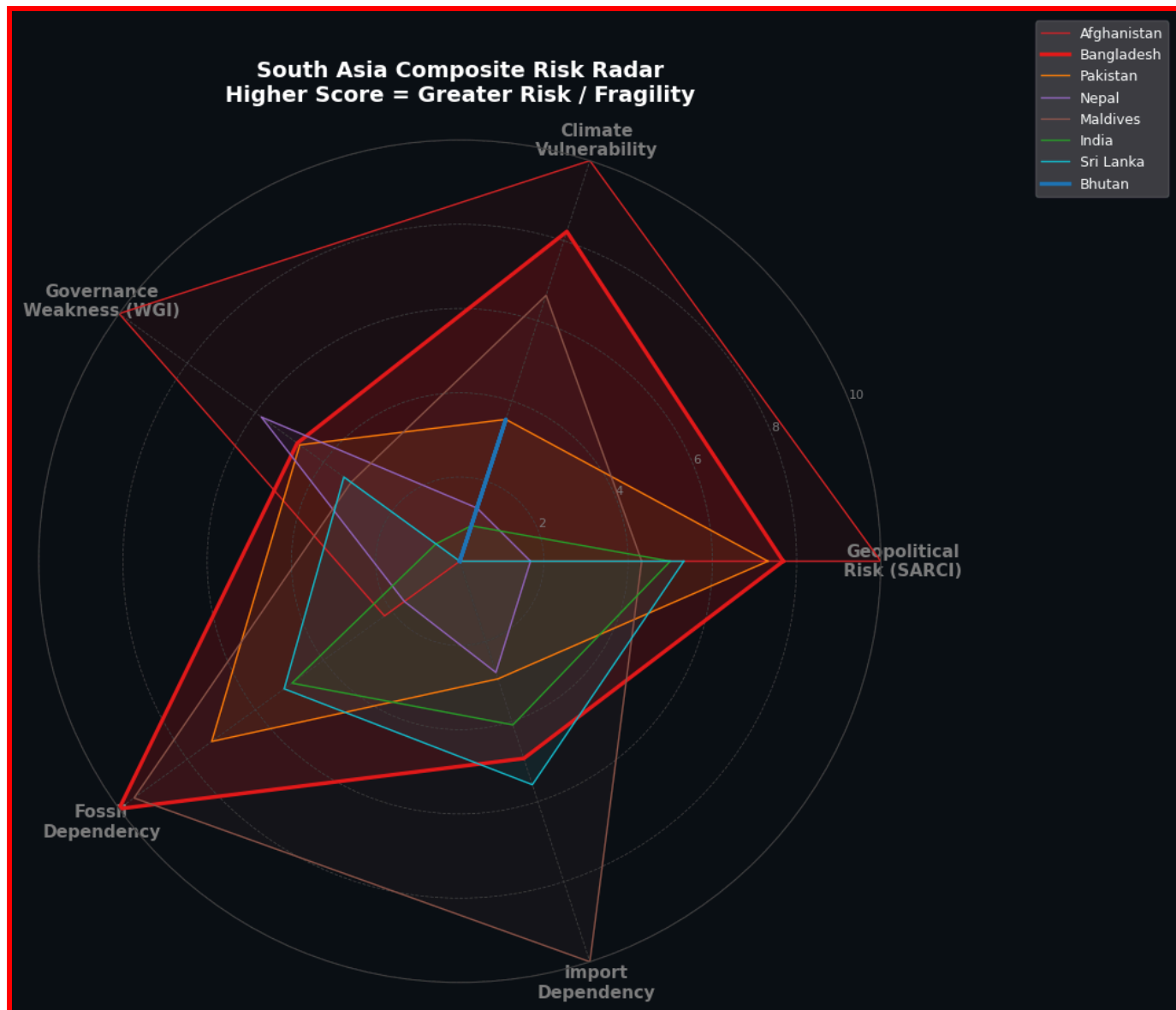


Figure 6: Across five dimensions of risk — geopolitical exposure, climate vulnerability, governance capacity, renewable generation, and import dependency — no South Asian country combines fragility across all five axes the way Bangladesh does. That is not a coincidence. It is a structural condition.

Bhutan sits at the opposite end of every chart. SARCI score 1.25. WGI 62.63.

Bhutan exports electricity. It has no Hormuz exposure. It has no fiscal crisis. It is the only country in South Asia that is a net energy exporter. In a region defined by fragility, Bhutan is a proof of concept — that small states with strong governance and renewable-dominant grids are not just climate-resilient but geopolitically insulated.

The rest of South Asia is not Bhutan. And the gap between what the data said was coming and what policymakers prepared for is where the real risk lives.

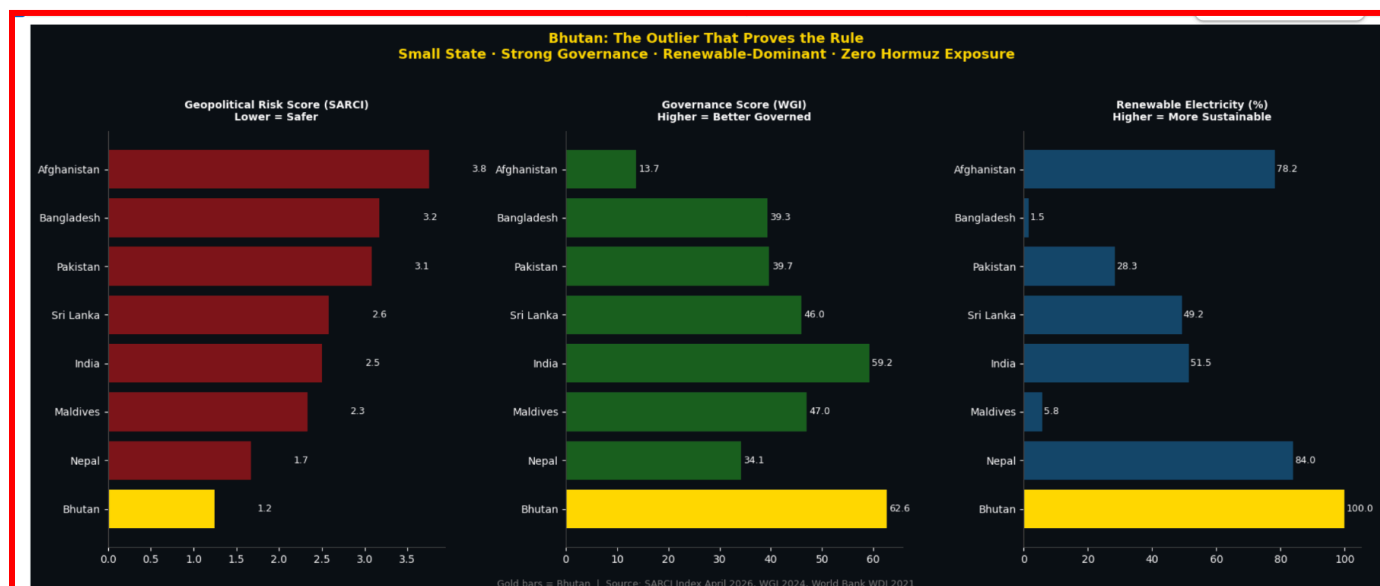


Figure 7: Bhutan's SARCI score of 1.25, WGI of 62.63, and status as South Asia's only net electricity exporter place it in a category of one — proof that small states with strong governance and renewable-dominant infrastructure achieve geopolitical insulation as a byproduct of good energy policy.

Data sources: ND-GAIN Country Index 2024, World Bank WDI 2021–2022, IMF WEO 2026, IMF Article IV Consultation 2024 (Maldives), Yale EPI 2024, SARCI Index (April 2026), CBSL Annual Economic Review 2024, UNDP Afghanistan Report January 2026, Climate Action Tracker March 2026.